

word to access his or her account.

So, with an account in place, policyholders can have all their policies—life, health and motor etc.—in a single account. This is a very useful exercise, because, often, policyholders do not have a consolidated view of their insurance policies. Policies taken in different years, with different insurers and often through different agents or other intermediaries often lead to one losing track of the policy's status. Often, policies end up lapsing because one didn't remember when they paid the premium. Through the eIA account, a policyholder can have access to all details of a policy to use it to their advantage.

At present, both existing as well as new policyholders can open only one eIA, which means there is no way for demat accounts to be duplicated. However, if a policyholder is unhappy with an IR, he or she will have the option to close the account with one and open a new account with another IR. The biggest advantage for all stakeholders is access to data and details. With the IR in place and unique accounts, it is not just policyholders who will have access to insurance records, even insurers and the regulator will have access to data, which can come in handy to improve processes and systems.

Imagine the savings insurers can have when they can use the IR route to communicate and also update policyholders on premiums. Not only will policies remain active and avoid lapsing, they could also help insurers keep policyholders updated with bonuses and any additional benefits.

ADVANTAGE POLICYHOLDER

The biggest beneficiary of the move will be policyholders who will have the advantage to view all their insurance assets in a single place. Updating address in case of any change as well change of nominees can be undertaken by the policyholder as and when he or she wishes to through the eIA. Policyholders can also bring in a trusted family member or anyone else who is classified as an authorised representative (AR).

BENEFITS OF A DEMAT ACCOUNT FOR INSURANCE

- Eliminates multiple KYC
- No need for physical documents
- Puts an end to loss and theft of policy documents
- Provides single window view of all policies
- Consolidated insurance statements on an annual basis
- Online payment for policy renewal premium
- Alerts and messages

An AR is a person who is appointed by an eIA holder to operate their account in case of the demise or inability of the account holder to do so on their own. The AR should intimate the IR about the demise or incapability of the policyholder with valid proof to access the account. The AR will also act as a facilitator and is not entitled to receive any policy benefits unless designated as a nominee or an assignee by the deceased policyholder. A minor cannot be an AR, and there should be no insurable interest between the AR and the eIA. Insurable interest comes into play when the AR deliberately operated with a profit motive to insure the account holder, which goes against the very principles of insurance.

More importantly, policyholders will be able to arrive at the value of their policies, which would provide them with a clear idea of how much insurance cover they have. In the case of policies that have savings and investment components, policyholders can also evaluate the returns they earn from such policies to help them compare it with other investment-based financial instruments. They can let go of policies that are not working out for them any more and also compare new policies with existing ones to help them make the decision to buy additional insurance policies.

It may be too early to count other advantages, especially in the case of ULIPs (unit-linked insurance plans), which provide investment-switching facilities to policyholders. Through their eIA, policyholders can control fund switch, top up premiums and other such facilities to be up to date with their policies and the investment opportunities they offer. The facility to make nominations specific to policies in a single place can also help policyholders make clear legacy decisions. One will need to wait for the mandatory transition to occur for the repositories to handle the load that would come their way.

There may be initial glitches and the process of shifting all policies, new as well as old, to electronic form may be time-consuming, but it will be one more step towards making a significant shift in the way that insurance is evaluated, treated and held by policyholders. There is no doubt that it is a welcome move. ■

–Narayan Krishnamurthy